



CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

MANAGEMENT OF BUSINESS

UNIT 1 – Paper 02

2 hours 30 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE questions. Answer ALL questions.
2. Write your answers in the spaces provided in this booklet.
3. You may use a silent, non-programmable calculator to answer questions.
4. Do NOT write in the margins.
5. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
6. **If you use the extra page(s) you MUST write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.



MODULE 1: BUSINESS AND ITS ENVIRONMENT

1. Thomas is in the process of establishing Creative Fashions Ltd, a designer clothing fashion store in the tourist community of Greenshore Island. The Small Business Association of Greenshore Island suggests that Thomas decides whether his products would target the local or overseas market. Additionally, he should choose either a sole trader or a partnership form of business.

(a) Define EACH of the following terms:

- (i) Sole trader business

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[2 marks]

- (ii) Partnership business

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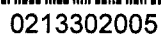
[2 marks]

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- [illegible]

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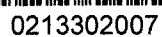
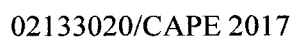
- [illegible]

DO NOT WRITE IN THIS AREA



Total 25 marks

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MODULE 2: MANAGEMENT OF PEOPLE

2. The EZ Canning Company has been experiencing declining profits steadily over the last 12 months. In addition, there have been poor interpersonal relationships among workers. The last staff satisfaction survey showed that workers' motivation levels had fallen significantly. Bill Jones, the human resource manager, wants to change the negative work environment. He believes that teamwork will help to improve the profitability of the company.

- (a) Outline TWO differences between Herzberg's hygiene theory and Maslow's hierarchy of needs theory.

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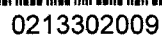
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[4 marks]



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- This image shows a full page of white paper with horizontal dashed lines, typical of primary-ruled notebook paper. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

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- This image shows a full page of a handwriting practice worksheet. It consists of multiple sets of three horizontal dashed lines spaced evenly down the page, providing a guide for letter height and placement. The background is plain white, and there are no other markings or text present.

DO NOT WRITE IN THIS AREA



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MODULE 3: BUSINESS FINANCE AND ACCOUNTING

3. (a) Define EACH of the following terms:

(i) Current assets

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[2 marks]

(ii) Budgetary control

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[2 marks]



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- This image shows a full page of white paper with horizontal dashed lines, typical of primary-ruled notebook paper. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.



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- (c) Janet Palmer is the owner and manager of Beautiful Flowers. She was advised to prepare a balance sheet to help her with managing the business. In response, Janet prepared the following document.

Beautiful Flowers Balance Sheet as at December 31, 2016		
Current Liabilities		
Buildings	62 660	
Debtors	28 000	90 660
Equity		
Capital		76 600
		167 260
Current Assets		
Creditors	26 200	
Equipment	20 000	
Bank Overdraft	24 720	70 920
Fixed Assets		
Stock	8 360	
Cash	8 500	16 860
		87 860

Use the information above to prepare a corrected balance sheet for Beautiful Flowers as at December 31, 2016.

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[15 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.



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